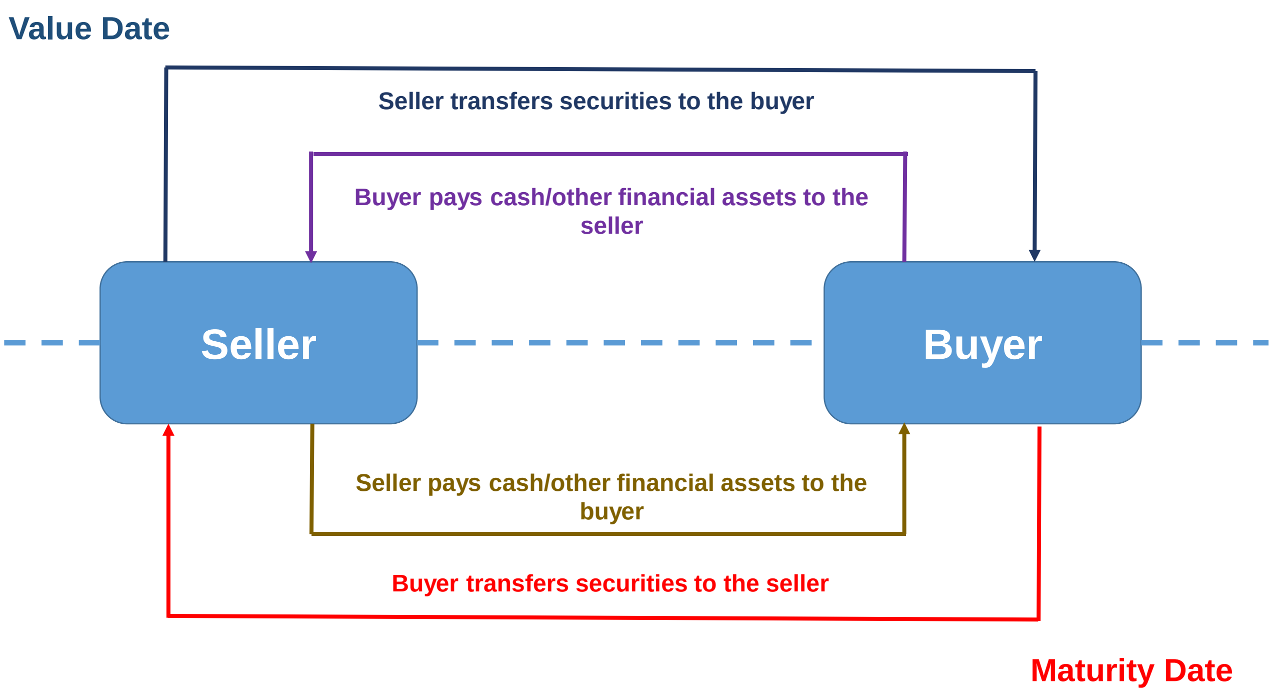
Financial instruments

Financial instruments is not only an important topic within the Qualification Programme curriculum but also a crucial element of the risk management of the resources of a company. Clear understanding of the transaction flows of financial instruments is a key foundation of the recognition and measurements of financial statements, particularly for regulated financial institutions and liquid capital management. Nevertheless, given the evolving financial markets and sophisticated characteristics of financial instruments, industry practitioners often encounter difficulties in accounting for the instruments in the financial statements. This article is to illustrate that the accounting treatment of financial instruments is not as straight forward as mere interpretation of the literal description of the financial instruments. Thorough consideration should be given to their underlying contractual terms.

Repurchase Agreement ("REPO")



Repo is defined as an agreement in which one party sells securities or other assets to a counterparty, and simultaneously commits to repurchase the same or similar assets from the counterparty, at an agreed future date or on demand, at a repurchase price equal to the original sale price plus a return on the use of the sale proceeds during the term of the Repo. It is commonly used by financial institutions to manage capital. During the financial turmoil in 2008, Repo was linked to the collapse of a leading investment bank which was alleged to have used accounting maneuvers to de-recognize assets from its statement of financial position to appear financially healthier.

Some industry practitioners are confused that Repo could be booked as an outright sale of securities. However, this is not the case when we look into the contractual arrangements of this instrument. The seller in the Repo contract has the contractual obligation to repurchase the securities at a specified price in a predetermined day/period, meaning that it is still exposed to the market risks inherent in the relevant securities when they are transferred to the buyer. Hence, the risks and rewards of the securities are not substantially taken off from the seller of the Repo contract, and the action to transfer the securities from seller to buyer is not an outright sale but merely a financing. In this regard, the transaction should be initially recognized in the book of the seller as a loan financing from the buyer, and interest expenses (representing the return on the use of the sale proceeds) using the effective interest method shall be recognized from the initial recognition date to the maturity of the Repo. The securities transferred should remain in the statement of financial position of the seller throughout the contract period.

The general misconceptions on the accounting treatments of Repo together with the proper treatments are stated as follows:

Correct Treatment	Incorrect Treatment
Intial recognition	
(in the book of seller)	
Dr. Cash	Dr. Cash
Cr. Loan from buyer of Repo contract	Cr. Securities
(in the book of buyer)	
Dr. Loan to seller of Repo contract	Dr. Securities
Cr. Cash	Cr. Cash
Between initial recognition and maturity date	
(in the book of seller)	
Dr. Interest expenses	NA
Cr. Loan from buyer of Repo contract	
(in the book of buyer)	
Dr. Loan to seller of Repo contract	NA
Cr. Interest Income	
Maturity date	
(in the book of seller)	
Dr. Loan from buyer of Repo contract	Dr. Securities
Cr. Cash	Cr. Cash
(in the book of buyer)	
Dr. Cash	Dr. Cash
Cr. Loan to seller of Repo contract	Cr. Securities

Equity or financial liability?

A common question is always being asked by practitioners: from an issuer's perspective should a financial instrument issued by the issuer be classified as equity or financial liability? Before jumping to the answer directly, we should first understand that the overriding principles to distinguish between equity and financial liabilities are to consider whether the issuer has any unconditional right to avoid the contractual obligation to deliver cash or other financial asset. If a financial instrument involves such contractual obligation, it shall be classified as a financial liability unless it meets the definitions of puttable financial instruments and obligations arising only on liquidation as stipulated in HKAS 32.16A-16D.

Referring to the above common question, redeemable preference share is a good example to illustrate the classification. Despite of the word "share" conventionally used to name the instrument, we should not merely classify the instrument as equity from an issuer's perspective. In fact, the "redeemable" feature of the instrument imposes a contractual obligation on the issuer to deliver cash or other financial assets upon the redemption date. Thus, it shall be classified as a financial liability by the issuer.

Conclusion

The development of the financial reporting standards on financial instruments tends to be more risk management-based. To facilitate the understanding of the accounting treatment of various financial instruments, adequate financial risk management knowledge is of paramount importance.

About the author

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